

**Revised Guidance Note on How to Decide Dissemination of STRs to LEAs
(Issued on Dec 1, 2022)**

The decision as to which LEAs should a particular STR be disseminated to can be guided by asking the following questions, **one after the other** –

Q. No. 1 – What is the geographical location of the account in which suspected transactions have taken place?

Sl. No.	Grounds of Suspicion	LEAs to which the case should be disseminated
1	Relating to transactions done in a branch in a terrorist or Maoist or any other insurgency affected area (<i>if specifically mentioned so in the GoS</i>)	IB NIA State Police
2	Relating to transactions done in a branch in a border area	IB State Police

Q. No. 2 – Has the STR been filed in response to an Alert or Watchlist or enquiry by LEA or advice by Regulator?

Sl. No.	Grounds of Suspicion	LEAs to which the case should be disseminated
3	In response to FIU Alert	Transfer the STR to the requesting FIU analyst / vertical which has issued the Alert. The said analyst/vertical to decide dissemination based on background information regarding the issued alert.
4	Name of reported person matches with name in UNSCR List	IB, NIA
5	On the basis of adverse media report	Decision to be taken in view of related media reports about the reported person
6	In response to advice/order from RBI, SEBI or other regulator	Depends on contents of STR, but must also go to the concerned Regulator in case any additional information is linked

7	Reactive STR – in response to enquiry by LEA	Depends on contents of STR, but must also go to the concerned LEA in case any additional information is linked
8	Relating to a banking fraud where bank is the victim (information received from RBI or any bank in India or outside India)	ED CBI State Police CBDT
9	Relating to a banking fraud where public is the victim (information received from RBI or any bank in India or outside India)	State Police IB (only if there is a national security angle) CBI ED (if there appears to be a concerted attempt to target large number of accounts to defraud)

Q. No. 3 – What is the nature of activity or employment of reported person/entity?

Sl. No.	Grounds of Suspicion	LEAs to which the case should be disseminated
10	Relating to MLM activity	State Police CBDT ED (if there is fraud or any other offence reported)
11	Relating to chit funds	State Chief Secretary CBDT State Police (only if a fraud or any other offence is reported) ED (only if a fraud or any other offence is reported) CBI (only if a fraud or any other offence is reported) RBI (as RBI has the powers of inspection as per section 47 of the Chit Funds Act, 1982.
12	Relating to PEP other than government servant	CBDT

		CBI (if reported person falls under CBI's jurisdiction as per Prevention of Corruption Act).
13	Relating to political party	CBDT
14	Relating to government servant	CBDT CBI (if the reported suspicion indicates corruption and if reported person falls under CBI's jurisdiction as per Prevention of Corruption Act). CVC (if the reported suspicion indicates corruption and in case reported person is an All India Service officer working for Union, Gr. A Central Services officer, Central Govt PSUs and other officers exclusive as per CVC Jurisdiction) The analyst is to first reconfirm with the RE regarding reported profile of person. However, in cases of govt teachers or PSU employees, where amounts involved are lower, they may be disseminated to CBDT only.) State Chief Secretary (if employee is not covered by powers and scope of CBI and CVC)
15	Relating to a cooperative bank/ DCCB/ State Coop Bank/ RRB	RBI (in case reported person is a coop bank other than DCCBs and SCBs) CBDT NABARD (in case reported person is a DCCB or State Coop Bank (SCB))
16	Relating to a credit cooperative society	CBDT State Chief Secretary
17	Relating to a NBFC or bank	RBI CBDT
18	Relating to educational, social, cultural or religious trusts	CBDT IB (religious, social or cultural trusts) only if there is suspicion of TF or Trust by its nature or report in the GOS appears to be vulnerable for Terror financing.

19	Relating to NGOs	CBDT IB MHA – Foreigners Division (where account holder is a recipient of foreign remittance)
20	Relating to a foreign diplomat	MEA IB
21	Relating to transactions done on a gaming or betting site	CBDT State Police (only where illegality may be ascertained/suspected) ED (if there is foreign remittance in relation to transactions reported) DGGI (if the reported person is operator/service provider)
22	Relating to transactions done for buying or selling crypto currencies	CBDT ED (if there is foreign remittance in relation to transactions reported) DGGI (in case the reported person is an operator/service provider)
23	Relating to lottery fraud	State Police
24	Relating to a family trust and transfer of funds between a set of accounts in names of trustees and their family members	CBDT
25	Transactions relating to purchase or sale of property	CBDT They may be disseminated also to ED only if there is any indication of criminal / predicate offence.
26	Relating to a forex dealer	CBDT ED (in case there is an underlying offence reported or appears to be a concerted attempt to structure below KYC requirement limits and transfer funds abroad using this channel) RBI
27	Related to manufacturing or supply of goods and services	DGGI CBDT

	especially if the sector is one of the following – a. Jewellery b. Real Estate or builders or construction industry c. Plastic industry d. Automobile parts industry e. Metal sector (iron, steel, copper etc) f. Pan masala, gutka, chewing tobacco g. Manpower supply or security services h. Renting of immovable services i. Works contract services j. Construction services k. Chemicals l. Business Auxiliary Services m. Business Support Services n. Membership of Club Services	
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Q. No. 4 – What is the nature of suspected transactions/ reason for suspicion?

Sl. No.	Grounds of Suspicion	LEAs to which the case should be disseminated
28	High value domestic transactions between a set of related bank accounts (round about transactions)	CBDT DGGI (if the nature of business of reported entity is taxable under GST)
29	High volume of domestic transactions – funds coming in and going out immediately – in a newly opened bank	CBDT

	account, and account is not used or closed after the transactions are done	DGGI (if the nature of business of reported entity is taxable under GST)
30	High value of cash deposit in bank account – higher than what was observed earlier or in a newly opened account	CBDT DGGI (if the nature of business of reported entity is taxable under GST)
31	High value of cash withdrawals in bank account – higher than what was observed earlier or in a newly opened account	CBDT DGGI (if the nature of business of reported entity is taxable under GST)
32	Transactions in bank account not commensurate with declared income or turnover	CBDT DGGI (if the nature of business of reported entity is taxable under GST)
33	Cash deposits/ withdrawals from multiple cities and in large number of instances	State Police IB (if relating to border areas and sensitive locations)
34	Relating to FICN deposit	IB, State Police, NIA, DRI
35	Transaction with parties from unrelated sectors i.e. different from the sector of the reported person as per given KYC details	CBDT DGGI
36	High value transactions involving transfer of funds from a set of accounts to one account or from one account to a set of accounts	CBDT DGGI (if the nature of business of reported entity is taxable under GST)
37	High value of remittances from a few domestic bank accounts followed by remittances to parties outside India immediately thereafter	CBDT DRI (if such transactions pertain to any exporter/ importer profile or are linked to import/ export activity) ED DGGI (if such transactions pertain to trade and/or service based remittance)
38	Pending or fake Bills of Entry against import or export	CBDT DRI ED DGGI

39	Unusual spike in inward remittances from abroad in bank account of an individual and further transfer immediately to multiple accounts	State Police CBDT IB (in case TF is suspected)
40	Investment in stocks etc not commensurate with declared income	CBDT
41	Investment in insurance policies not commensurate with declared income	CBDT
42	Reversal trading in options	CBDT SEBI
43	High value transactions in stocks etc done off line	CBDT SEBI
44	High value transactions in account of a company which upon physical verification at given address is no non-existent or has no stock or employees	CBDT SFIO DGGI
45	Person or entity is doing high value import or export, however upon physical verification at given address is non-existent or has no stock or employees	DRI ED CBDT DGGI
46	Set of accounts in different names but contact no is common and all accounts are suspected to be operated by one or two persons only	CBDT DGGI (if nature of business of account holder is services, trade or manufacturing)
47	Relating to Identity Theft	State Police CBDT (in case of reported misuse of PAN) IB (in case of reported use of fake passport by foreign national/ resident) CBI (in case of reported use of fake passport by Indian national/ resident)
48	Relating to transactions under LRS by persons having common address, different accounts of same person	CBDT ED
49	Transaction that is suspicious relates to agricultural income	CBDT

50	Transaction that is suspicious relates to purchase of multiple demand drafts	CBDT
51	Transaction that is suspicious relates to repayment of loan in cash	CBDT

With respect to point no. 27 (l) and (m) above, DGCI has clarified the following –

Business Support Services means services provided in relation to business or commerce and includes evaluation of prospective customers, telemarketing, processing of purchase orders and fulfilment services, information and tracking of delivery schedules, managing distribution and logistics, customer relationship management services, accounting and processing of transactions, operational assistance for marketing, formulation of customer service and pricing policies, infrastructural support services and other transaction processing.

Business Auxiliary Services means any service in relation to –

- Promotion or marketing or sale of goods produced or provided by or belonging to client or
- Promotion or marketing of service provided by client
- Any customer care service provided on behalf of the client
- Procurement of goods or services which are inputs for the client
- Production or processing of goods for or on behalf of the client
- Provision of service on behalf of the client
- Service incidental to or auxiliary to any of the activities specified above such as billing, issue or collection or recovery of cheques, payments, maintenance of accounts and remittance, inventory management, evaluation or development of prospective customer or vendor, public relation services, management or supervision, and includes services as a commission agent, but does not include any activity that amounts to manufacture of excisable goods.

Further, CBI has clarified that –

- i) CBI has power to investigate cases against employees of the Central Government, employees of CPSUs, current MPs and ministers as also former MPs and ministers and all employees of Government in Union Territories including Delhi Government and related Govt. undertakings.

(ii) CBI is routinely assigned cases by courts and it has also taken up certain cases having serious ramification where the offense under the information technology Act has been committed.

(iii) CBI does not have powers to investigate cases of corporate fraud or cases against state government employees, MLAs, ministers unless specifically assigned to CBI.